



Ministry of
Economy

Dear Investors,

On behalf of the people of Guatemala, I am pleased to extend a warm welcome to you as you explore investment opportunities in our country.

Guatemala is a beacon of opportunities in Central America, with a stable economy, a strategic location and a favorable business environment. As you navigate the landscape of investment possibilities, we want to show you the countless reasons why Guatemala should be at the forefront of your considerations.

Our nation's commitment to economic stability and growth is unwavering. With a strong legal framework, transparent regulations, and a proactive approach to investment facilitation, Guatemala offers a safe and conducive environment for businesses to thrive.

Our strategic location, which connects North and South America, offers privileged access to key markets, facilitating trade and connectivity, whether you seek to establish manufacturing facilities, explore sectors such as food and beverages, renewable energy, or take advantage of our tourism and health services ecosystem. Guatemala offers a wealth of opportunities.

Beyond the business landscape, Guatemala's rich cultural heritage, stunning landscapes and warm hospitality, the country offers a unique living experience. Our nation is moving rapidly toward a modern, diverse and more inclusive society, where investors and their families can prosper.

As you embark on this journey, rest assured that our National and Foreign Investment Attraction Agency will be there to support and guide you every step of the way. Our dedicated team of experts is ready to provide personalized assistance, facilitate connections and navigate any challenges that may arise, ensuring that your investment journey is as smooth and successful as possible.

I extend my sincere thanks to you for considering Guatemala as your investment destination. We look forward to partnering with you in achieving your goals and contributing to the mutual prosperity of our nations.

Dr. Bernardo Arévalo de León

President of the Republic of Guatemala



GUATEMALA

YOUR INVESTMENT DESTINATION

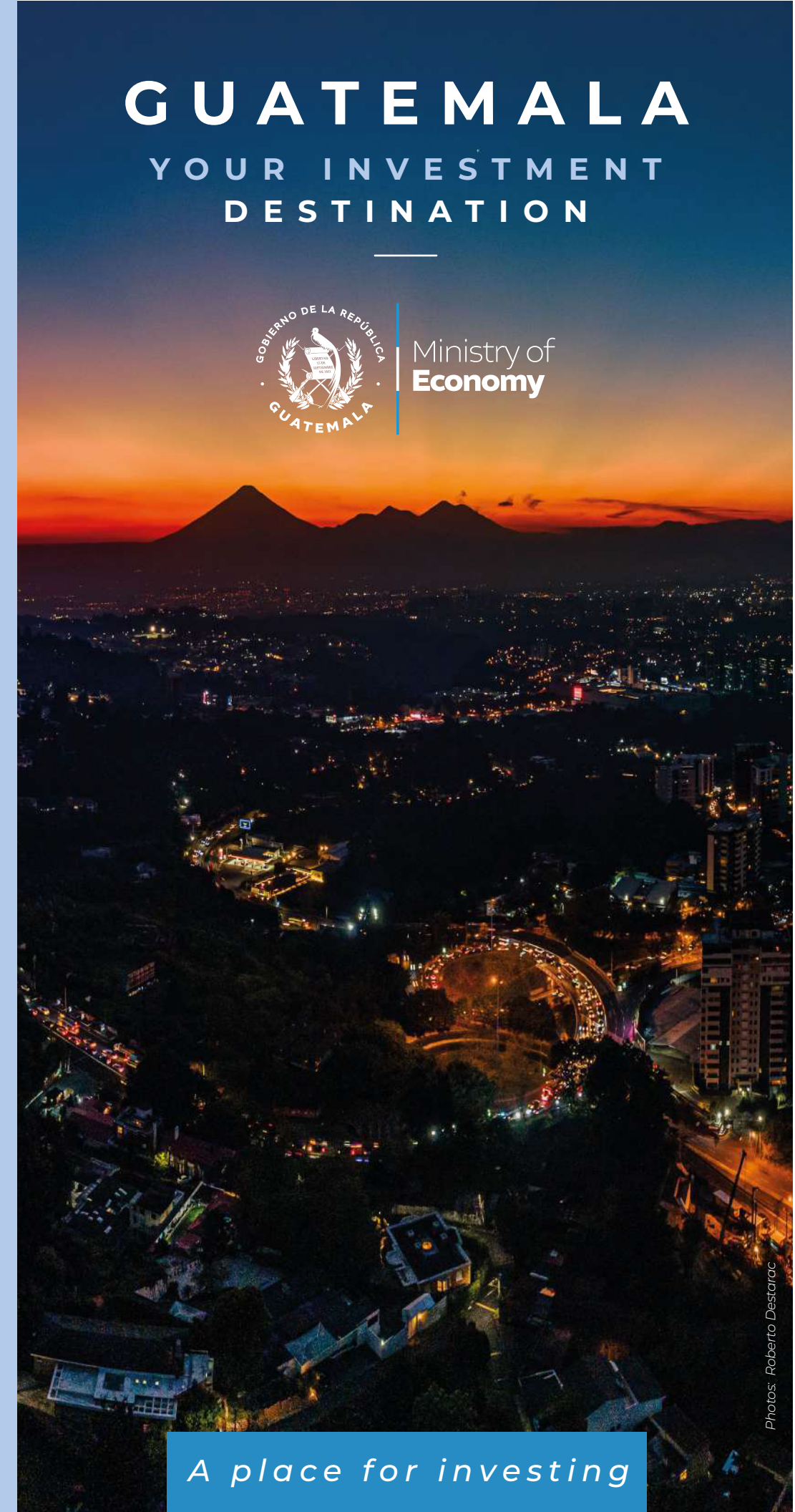


GUATEMALA

YOUR INVESTMENT DESTINATION



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A place for investing

Why GUATEMALA?

GENERAL INFORMATION

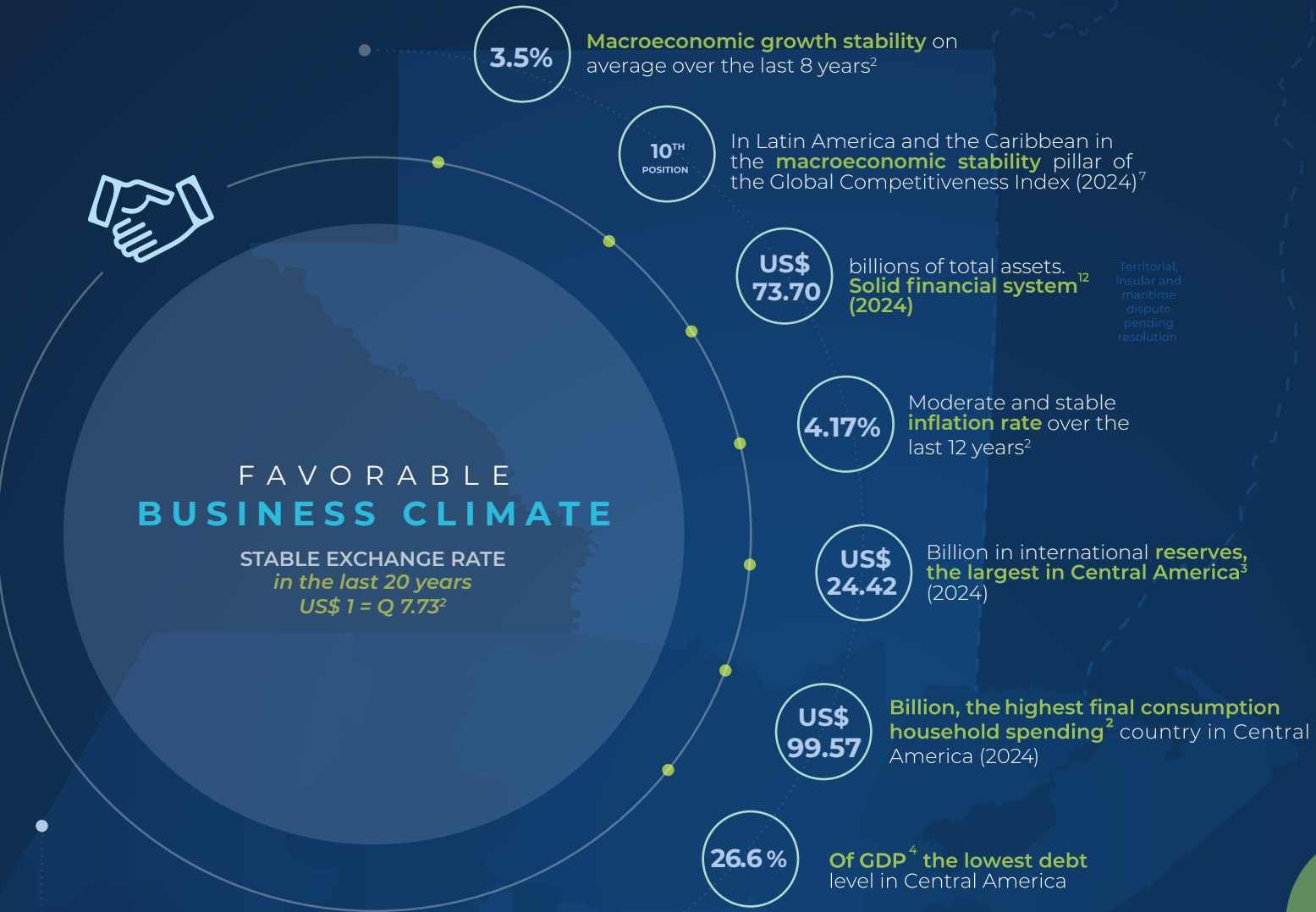
- Capital city**
Guatemala City
- Area**
108,889 sq km
- Official language**
Spanish; 22 Mayan, 1 Garífuna, 1 Xinca
- Form of government**
Republican, democratic and representative
- Head of state**
President of the Republic

POPULATION

- Population 2025¹**
18,079,810
- Economically active population, 2023¹**
6.7 millions

ECONOMY

- Real Economic Growth, 2024²**
3.7%
- Per Capita GDP, 2024²**
US\$ 6,343.3
- Foreign Direct Investment, 2024²**
US\$ 1,694.5 million
- Family Remittances, 2024²**
US\$ 21,510.2 million
- Exports, 2024²**
US\$ 19,226.3 million
- Imports, 2024²**
US\$ 38,935 million
- Tax revenue of the central government, 2024¹⁰**
US\$ 13,313.7 million
- Currency**
Quetzal (Q)



- Country risk rating³**
Fitch Ratings (BB Positive), Moody's (Ba1 stable), Standard & Poor's (BB Positive)
- Nominal GDP² 2024 US\$ 113,178.26 million**
the largest economy in Central America
- Customs union between Guatemala, Honduras and El Salvador**, that with a trade exchange of more than US\$6,053.7 millions of dollars in 2023²
- Guatemala has the largest installed capacity for energy production (3,699.4 MW) in the Northern triangle⁹**, surpassing El Salvador (2,396.4 MW) and Honduras (3,097.6 MW)

67.28% of the total population¹ is of working age

60.2% of the working-age population¹ is economically active

26.9% of the working-age population is between 15 and 24 years old while 73.1% is 25 years old or older.

HUMAN TALENT

The Technical Training and Productivity Institute¹¹ provides technical assistance to companies throughout the country with +32 centers, 4 departmental delegations, 5 regions, 72 specialties and 26 high-tech laboratories

14 private universities and one public university, offering technical training, undergraduate and post graduate programs.⁶

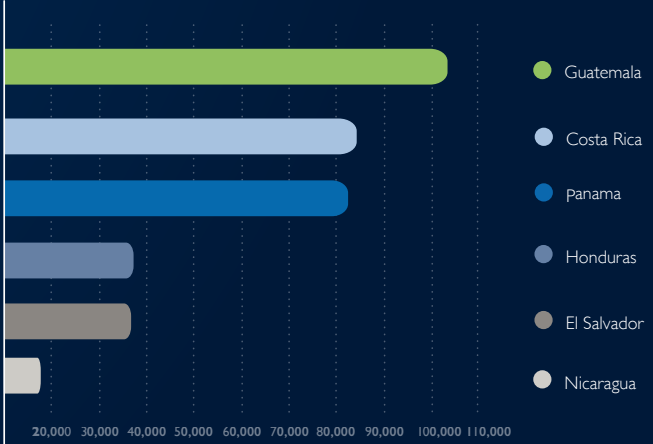
LOGISTICS PLATFORM⁵

- Direct access to the Pacific and Atlantic Coast, 250 miles from coast to coast**
- Connectivity:** 2 international airports, 9 local airfields, 16 cargo lines operating
- *The largest operation in Central America** (37.8%TM) maritime cargo in three main seaports, Santo Tomás de Castilla and Puerto Barrios on the Atlantic and Puerto Quetzal on the Pacific¹³

ACCESS TO MAIN MARKETS⁸

- Gateway to the largest market in Latin America, Mexico:** (GDP in 2023: US\$ 1.78 trillion)
- Proximity and Free Trade Agreement with the United States**, the largest market in the world: +US\$ 27.72 trillion in 2023
- Opportunity to access the Central American market with a joined GDP of more than US\$ 360.51 billion**, from the country with the largest economy in the region

GDP CA 2023
Million US\$



SOURCE
World Bank

SOURCES
1. National Statistics Institute -INE-
2. Bank of Guatemala -Banguat-
3. Central American Monetary Council -CMCA-
4. Public Credit Operations Report of the Ministry of Public Finance
5. Association of Exporters of Guatemala -AGEXPORT-
6. Higher Private Education Council -CEPS-
7. World Economic Forum
8. World Bank
9. Website www.enteoperador.org
10. Superintendency of Tax Administration -SAT-
11. Technical Training and Productivity Institute -INTECAP-
12. Superintendent of Banks -SIB-
13. Central American Maritime Transport Commission -COCATRAM-

* Data does not include Panama
The reference exchange rate for the amounts in this document is US\$ 1 = Q7.76



TAX OBLIGATIONS

The Superintendency of Tax Administration -SAT- is the governing and exclusive tax and customs administration institution. For an entity to be authorized to operate in Guatemala, it must register in the Unified Tax Registry -RTU- of SAT, which will assign a Tax Identification Number -NIT-. In the case of a commercial company, registration in SAT is carried out simultaneously with its registration in the Commercial Registry (Registro Mercantil), and in the case of a single owner's commercial company, registration in SAT is carried out after registration in the Commercial Registry. ***The entity can then start operating and invoicing for the services provided or goods sold. Every company must activate its virtual SAT agency, which will allow it to carry out different procedures electronically, including:***



Update of
current data



Update
of declarations



Authorization of
electronic invoices

VALUE ADDED TAX

It is generated by sales, provision of services within the national territory, imports, leasing of movable and immovable property, the transfer of movable and immovable property as payment, inter vivos donations of movable and immovable property, and other situations established in the Value Added Tax Law, (Decree 27-92 of the Congress of the Republic of Guatemala). The tax rate is 12% on the value of the goods or services provided. The tax is included within the sale price.

INCOME TAX

It is generated by the income or gains obtained by individuals, entities or assets, national or foreign, residents or non-residents in the country, earned within the national territory. ***The tax is paid on three types of income:*** from profitable activities, capital, and labor.

There are 2 regimes for income from profitable activities, among which the taxpayer can choose:

- **Regime on Payment of Profits:** 25% is paid on net profits
- **Optional simplified Regime:** 5% is paid on the first US\$3,870.97 and 7% on the excess



TAX OBLIGATIONS

SINGLE REAL PROPERTY TAX

The tax is paid on real estate within Guatemala. It covers all types of rural and urban properties, including land, structures, constructions and facilities attached to the properties and their improvements, and permanent crops.

The tax may be paid quarterly or annually, on the value of the property, according to the following scale:

 SCALE	 RATE
Up to US\$ 258.06	Exempt
From US\$ 258.19 to US\$ 2,580.65	1 per thousand
From US\$ 2,580.77 to US\$ 9,032.26	6 per thousand
US\$ 9,032.39 and more	9 per thousand

Note: These are the main taxes related to investments. There may be others that directly affect them, depending on the economic activity carried out. There is a regulatory framework governing each tax which can be consulted at:



<https://portal.sat.gob.gt/portal/biblioteca-en-linea-sat/legislacion/>

The reference exchange rate for the amounts in this document is US\$ 1 = Q7.75



TRADE AND INVESTMENT AGREEMENTS



TRADE AGREEMENTS

Partial Scope Agreement: Belize (v), Cuba (v), Ecuador (v) and Venezuela (v). **FTAs (Free Trade Agreements):** Chile (v), Taiwan (v), Colombia (v), Dominican Republic (v), DR-CAFTA (v), Mexico (v), Panama (v), Israel (s), Canada (n), United Kingdom (n), South Korea (n), EFTA (s) and Peru (s). **Regional integration:** Central American Economic Integration (v). **Association Agreements:** European Union (n).

INVESTMENT AGREEMENTS

Bilateral Foreign Investment Agreements for the Promotion and Protection of Foreign Investment: Argentina, Austria, Belgium-Luxembourg, Chile, Cuba, Finland, France, Germany, Israel, Italy, Netherlands-Holland, South Korea, Spain, Sweden, Switzerland, Taiwan, Trinidad & Tobago, Türkiye and Czech Republic.



LABOR AND SOCIAL SECURITY ASPECTS

In Guatemala the relationship between employer and employee is formalized with an employment contract.

These can be registered online, on the website of the Ministry of Labor and Social Welfare. A trial period of two months is allowed before a worker is definitively hired.

EMPLOYERS' OBLIGATIONS

- Submit a report to the Ministry of Labor and Social Welfare within the first two months of the year with information of the workers and the company.
- Provide a daycare when there are more than thirty female employees
- Pay travel expenses if workers travel abroad or domestically
- Recognize unions and comply with collective agreements
- Pay for the time worked and severance compensation proportional to the time worked if a worker was dismissed without cause.
- Contribute to the Guatemalan Social Security Institute with 10.67% of the monthly salaries paid to the employees. In addition, each employee contributes 4.83% of her or his own monthly salary.
- Contribute to the Technical Training and Productivity Institute 1% of the monthly salary paid to the employees.
- Contribute to the Recreation Institute for Private Sector Workers of Guatemala 1% of the monthly salary paid to the employees.

ADMISSIBLE CAUSES FOR DISMISSAL

- If a worker does not report for work two days in a row or six days during the same month without cause
- If a worker discloses sensitive information, especially if she or he signed a confidentiality agreement
- When a worker has to serve a sentence
- Any serious misconduct contemplated in the employment contract

EMPLOYMENT BENEFITS

- The seventh day off after working 6 consecutive days. If the employee works on the seventh day, she or he must be paid overtime for "extraordinary work".
- 13 recognized national holidays
- Annual leave for at least 15 days after one consecutive year of work
- Payment of Bonus 14 equivalent to one month's salary after a consecutive year of work or in proportion to the time worked.
- A year-end bonus equal to one month's salary after a consecutive year of work or in proportion to the time worked.
- Severance compensation applies in the event of dismissal without cause, when there is a contract for an indefinite period and is equivalent to one month's salary for each year worked.
- Paid leave for the death of a spouse, parent or child, when getting married, for the birth of a child, to respond to court summons, for union functions, for breaks and leaves established by law; for illness, pre-and postnatal leave and during the breastfeeding period.



LABOR AND SOCIAL SECURITY ASPECTS

WORK DAYS



DAYTIME

From 6 a.m. to 6 p.m.

8 hours a day

48 hours a week



NIGHTTIME

From 6 p.m. to 6 a.m.

6 hours a day

36 hours a week



COMBINED

Nighttime if it exceeds 4 hours at night

7 hours a day

42 hours a week

Overtime: The regular workday can be extended up to 4 hours a day. Each overtime hour must be paid at 1.5 times the regular hourly rate.

COMPENSATION

The minimum wage is established by the Government of Guatemala

Economic District 1 (Department of Guatemala)



AGRICULTURAL ACTIVITIES

US\$ 15.22* / day

US\$ 463.09 / month

US\$ 32.22 bonus

US\$ 495.30 / month



NON-AGRICULTURAL ACTIVITIES

US\$ 15.77* / day

US\$ 479.77 / month

US\$ 32.22 bonus

US\$ 511.99 / month



EXPORT AND LIGHT MANUFACTURING ACTIVITIES

US\$ 13.89* / day

US\$ 422.50 / month

US\$ 32.22 bonus

US\$ 454.72 / month

Economic District 2 (All departments except Guatemala)



AGRICULTURAL ACTIVITIES

US\$ 14.56* / day

US\$ 442.89 / month

US\$ 32.22 bonus

US\$ 475.11 / month



NON-AGRICULTURAL ACTIVITIES

US\$ 15.04* / day

US\$ 457.55 / month

US\$ 32.22 bonus

US\$ 489.77 / month



EXPORT AND LIGHT MANUFACTURING ACTIVITIES

US\$ 13.12* / day

US\$ 399.13 / month

US\$ 32.22 bonus

US\$ 431.34 / month

Government Resolution 264-2024 for 2025 salaries was published in the official gazette, Diario de Centroamérica, December 27, 2024. These salaries take effect as of January 1, 2025.

Source: Ministry of Labor and Social Security -MINTRAB-. The calculation based on daily data from the Bank of Guatemala -BANGUAT-.

* The reference exchange rate for the amounts in this document is US\$ 1 = Q7.75



LEGAL FRAMEWORK FOR INVESTMENTS

FOREIGN INVESTMENT LAW • DECREE 9-98

It guarantees national treatment to foreign investors, authorizes their participation in any lawful economic activity in the country and any proportion in the capital stock of a legally constituted company, unless there is a special law stipulating otherwise.

FREE FOREIGN CURRENCIES EXCHANGE LAW • DECREE 94-2000

Stipulates the freedom in the disposition, holding, remittance, transfer; purchase, sale, collection and payment of and with foreign currency, as well as in the holding and management of deposits and accounts in foreign currency. The exchange rate calculated and published daily by the Bank of Guatemala will be used for obligations with the State and conflict resolution.

CODE OF COMMERCE • DECREE 2-70

The Code of Commerce is the main legal framework for trade and commercial activity. There is no limitation for foreign persons or corporations to be shareholders in public limited companies in Guatemala or those that require giving participation to Guatemalan persons or entities. In addition, respect for private property disposal of goods and capital with equal treatment to nationals and foreign nationals is guaranteed. Bearer shares are prohibited.

LAW FOR THE SIMPLIFICATION OF ADMINISTRATIVE REQUIREMENTS AND PROCEDURES • DECREE 5-2021

The law seeks the modernization of administrative management by simplifying, streamlining and digitalizing administrative procedures using information and communication technologies to advance towards electronic government.

LAW OF INCENTIVES FOR THE DEVELOPMENT OF RENEWABLE ENERGY PROJECTS • DECREE 52-2003

The incentives apply to municipalities, the National Electrification Institute -INDE- joint ventures and individuals and legal entities that carry out energy projects with renewable energy resources. The incentives are:

- Exemption from import duties, including VAT
- Income tax exemption



LEGAL FRAMEWORK FOR INVESTMENTS



SPECIAL PROVISIONS

	LAW FOR THE PROMOTION AND DEVELOPMENT OF EXPORT AND LIGHT MANUFACTURING ACTIVITIES • (DECREE 29-89)	FREE ZONE LAW • DECREE 65-89 (FOR USERS)	PUBLIC SPECIAL ECONOMIC DEVELOP- MENT ZONE -ZDEEP- • DECREE 22-73 (FOR USERS)
• Income Tax -ISR ²	• Exemption for 10 years (for specific activities)	• Exemption for 10 years	• Exemption for 10 years • It applies to the dividends and profits distributed to shareholders
• Value Added Tax -IVA ² - and Tariff Duties on the Import -DAI ² of raw materials or imported products	• Suspension of payment for one year	• Exemption on imports	• Exemption on imports
• Value Added Tax and Import Tariff Duties on machinery imports	• Total exemption (Identified in the qualification resolution)	• Total exemption	• Total exemption
• Local sales	• Payment of DAI and IVA (not exempt from income tax) (Article 39 bis)	• Payment of DAI and IVA (not exempt from income tax)	• Payment of DAI and IVA (not exempt from income tax)

* By its acronym in Spanish



HOW TO BEGIN OPERATING IN GUATEMALA

On **Asisehace.gt** web portal you will find a service guide that provides information on the process, time, estimated cost and documents required to carry out the main commercial procedures, some available online, including:

- Registration of companies (local or foreign)
- Trademark and patent registration
- Payment of taxes
- Incentives Programs
- Work permits for resident foreign nationals
- Health registration

Once the required legal documents are available, the registration process for companies is carried out on the web portal of the Commercial Registry (Registro Mercantil). Through this website, registration is completed in the governing institutions: Commercial Registry and Superintendency of Tax Administration -SAT².

A foreign company can do business in Guatemala through:

- Incorporation of a Public Limited Company, the most usual in Guatemala
- A branch of the parent company, registered as a foreign branch
- Purchase of an already established Guatemalan company, purchase of shares

ESTIMATED COSTS AND TIME

Public limited company registration:

- 5 - 7-day process
- US\$77 - authorized capital of up to US\$64,516
- US\$475 - authorized capital equal or greater than US\$64,516.13 (+US\$ 1.10 rate for each additional thousand, up to a maximum of US\$5,161)

Registration of a foreign company

- **If the company wishes to establish itself for an indefinite period:** US\$ 413, the process takes 12 to 19 days
- **If the company wishes to establish itself for a limited period:** US\$ 447, the process takes 14 to 21 days



PERMITS FOR FOREIGN NATIONALS

MIGRATION CODE AND RELATED LAWS. DECREE 44-2016

Regular immigration status is the immigration category assigned to foreign nationals when they enter and stay in Guatemala, according to the following classification:

- Tourist or traveler
- Temporary resident
- Permanent resident
- **Visas (tourist or traveler):** It allows a foreign national to enter and leave the country as many times as necessary for a three-year period. The tourist or traveler can stay up to 90 days in Guatemalan territory, with a one-time extension possible.
- **Application for temporary residence:** the application form can be found on the website <https://igm.gob.gt/wp-content/uploads/2024/01/1.-Residencia-Temporal-para-trabajadores-migrantes.pdf> This document must be filled out and submitted by the foreign national at the Guatemalan Migration Institute - IGM³. Applicants may apply for temporary resident status for up to 5 years.
- **Application for permanent residence:** the application form can be found on the website <https://igm.gob.gt/wp-content/uploads/2024/01/12.-Residencia-Permanente-para-personas-que-han-sido-RT-por-5-anos.pdf> This document must be filled out and submitted at the Guatemalan Migration Institute.

The State of Guatemala grants temporary residence for up to 5 years. If you are looking to stay for a longer period of time, you must apply for permanent residence. The solvency of the person or company that will be the guarantor of the application is key to a favorable resolution.

²Reference exchange rate US\$/ = 7.75

³By its acronym in Spanish



HOW TO BEGIN OPERATING IN GUATEMALA

Once permanent residence is obtained, the foreign national is registered in the Registry of resident foreign nationals of the identification document - DPI*.

Temporary residence, cost:

- 1 year - \$200.00
- 2 years - \$300.00
- 3 to 5 years - \$500.00
- Permanent residence - \$700.00
- Permanent residence for Central Americans - \$500.00

General requirements for becoming a resident:

- Residence application form
- Valid original passport and complete notarized copy of passport
- Certification of validity of the current passport issued by the Embassy or Consulate of the foreign national's country in Guatemala. If there is no embassy or consulate in Guatemala, she or he must submit a birth certificate with an apostille or in accordance with the Law of the Judicial Branch, with the respective official legalizations
- Valid and current criminal and police records, issued by the corresponding authority in the country or countries where she or he has had a verifiable legal domicile during the last five years. If the country does not issue a document of this type, she or he must present a waiver for such documents.
- Travel record showing the last entry into the country
- A guarantor who pledges to be jointly and severally liable to the Guatemalan Migration Institute - IGM - for the foreign national

WORK PERMITS FOR FOREIGN NATIONALS

At least 90% of the company's employees must be Guatemalan and they must be paid at least 80% of the total salaries, except as stipulated in special laws, for instance where there are no national technicians in the area. An application is submitted through the electronic system at the following link: <https://pex.mintrabajo.gob.gt/login>

- **Positions as managers, directors, administrators, superintendents and general managers:** Applications are submitted on a regular basis
- **Technical positions:** the governing entity performs a check in its human resources bank

Documents to be submitted:

- A photocopy of the current legal representation of the employer, as well as its respective registration
- A photocopy of the valid passport of the foreign national to be hired or Personal Identification Document -DPI-
- A photocopy of the immigration status (temporary or permanent resident visa, or proof that the process has been started at the Guatemalan Migration Institute). If it appears in the passport, this requirement is waived
- A photocopy of the contract of the foreign national to be hired, offer of employment and, if applicable, notarization of its registration
- An accounting certification issued by a certified accountant, stating the total number of employees of the business, how many are Guatemalan, how many are foreign nationals and the respective percentages; the total salaries paid, both to nationals and foreign nationals, with their respective percentages. This must be done in accordance with the authorized salary book, indicating the registration number and date of authorization. This information must be provided for the last week, fortnight or month prior to the date of submission of the application, according to the salary payment period established by the company



Estimated processing time:

From 5 to 7 days



Estimated processing cost:

US\$ 387.10

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DISCOVER WHY
GUATEMALA
IS THE PERFECT PLACE
FOR INVESTING

